

**Table 26.2** General Statistics

| Description                               | Bull Market |
|-------------------------------------------|-------------|
| Number found                              | 1,154       |
| Reversal (R), continuation (C) occurrence | 100% R      |
| Average rise                              | 39.4%       |
| Standard & Poor's 500 change              | 12%         |
| Days to ultimate high                     | 208         |
| How many change trend?                    | 52%         |

**Days to ultimate high.** The pattern takes 7 months to reach the ultimate high, on average. Every trade is different, but it suggests traders need to be patient as price rises over the long term. However, the median is just 73 days (the difference is because some patterns just trend up and up and don't reach the ultimate high for years). Whether it takes 2 months or 7, ride the stock as long as you can before it bucks you off.

**How many change trend?** This is a count of how many patterns see price rise more than 20% after the breakout. I like to see values over 50%, and double bottoms qualify. Even so, the average for chart patterns is 55%, so Adam & Adam patterns are a bit shy of the mark.

**Table 26.3** shows that double bottoms have a 5% failure rate that is above the average (meaning worse) of other chart pattern types. I show a list of failure rates in the table. For example, 16% of the patterns in bull markets fail to see price rise more than 5% after the breakout. Almost a third (31%) rise less than 10%. Notice how the failures get worse as you scan down the rows. However, the increase from row to row isn't as steep as we've seen in other chart patterns (except for the move from 5% to 10% where failures almost double).

Another use of **Table 26.3** is to check on the measure rule prediction discussed in the Trading Tactics section later. Suppose the rule predicts a move from 10 to 13. That is a 30% rise. How many patterns will see price rise more than that? Answer: 38% (62%, on average, will fail to make it that far). Thus, it appears that a 30% target is too far away, but you could get lucky.